

Global Semiconductor Capital Equipment

China WFE Import Tracker (Apr 2026): YTD YoY -13% with weaker lithography import due to supply constrain



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We track monthly Wafer Fabrication Equipment (WFE) imports to China through data from China Customs ([link](#)); this call provides an update to the April 2026 data ([excel](#)) and our analysis. April import was \$2.7 billion, -12% MoM and -3% YoY. YTD YoY -13%, still weaker than expected mainly due to Lithography YTD YoY -27% because of supply constrain.

Weaker YTD import does not indicate that China WFE is slowing down as it's just Litho supply constrain, other equipment continue to show growth.

Apr single month total WFE imports at USD 2.7bn, lower than last year average of \$3.2bn. Apr YTD at USD 10bn, YoY -13%. Lithography hit a record low import with only \$142 million, YoY -60%, only accounting for 5% of total import but could be just monthly fluctuations. YTD's weak import was mostly dragged by Lithography, Process Control & Others. By region, import from Singapore/Malaysia showed strong growth, YoY +34%/17%. Litho import was extremely low at USD 142mn, YoY -60%. YTD Litho import was USD 1.85bn, YoY-27%. Import from Singapore + US + Malaysia was USD 1.4bn, YoY +28%, while YTD import was USD 4.3bn, YoY+6%. YTD Shanghai & Beijing import were USD 3.0/2.6bn, as the largest importers, accounting for 30%/26% share.

April Litho imports of EUR 87Mn from the Netherlands were down 87% MoM and 65% YoY, marking it the lowest month since July 2022. Our regression model estimates that China sales will decline sharply to EUR 0.44Bn in Q1, down 64% QoQ and 71% YoY, reflecting weak imports in April. This implies that China will represent only 7% of total system sales in Q2. Monthly import data can be lumpy. During Q1 results, ASML reiterated that China revenue is expected to decline to 20% of total revenue in FY26, compared to 33% in FY25. While we believe China demand will remain resilient, supported by strong investment in capacity expansion, but this year the China sales indeed could be lower due to supply constrain. We now forecast China revenue to decline in line with guidance, with potential upside to guidance if ASML's capacity of DUV supply improves.

For LRCX, the April data (1-month correlation) suggests Jun-Q China revenues would decrease ~28% QoQ, with China exposure landing at ~22% of total revenues based on consensus revenue estimates. This appears at least directionally consistent with management commentary that China exposure will decline sequentially in the June quarter.

AMAT's April quarter results on China revenue is in-line with our regression. AMAT has already reported their April quarter results, hence the April data (3-month correlation) carries no predictive power, rather we will use it as a check/verification. To that end, the correlation suggested China revenues would be flattish in the quarter, and land at ~26.5% revenue exposure, with AMAT's actual results where China revenues were flattish QoQ and were at ~26.4% revenue exposure, in-line with our regression.

Continued on next page

For KLAC, the April data (1-month correlation) suggests Jun-Q China revenues would increase ~17% QoQ, with China exposure landing at ~27% of total revenues based on consensus revenue estimates. Management didn't provide guidance for their China revenue exposure this quarter, but mentioned that overall China WFE will grow at a slower rate than broader WFE this year.

For TEL, our regression suggests TEL's China revenue could be +3% YoY and +14% QoQ. Our 1-month regression implies slight upside to TEL's JunQ revenue, tracking ahead of consensus of -4% QoQ, and an implied China contribution up to 32% vs. 27% in Q4.

For Kokusai, our regression suggests their China revenue could be +48% YoY and +101% QoQ. Our 1-month regression implies slight upside to consensus of +10% QoQ, and an implied China contribution of 51% vs. 28% in Q4.

For Screen, our regression suggests their China revenue could be -50% YoY and -73% QoQ. Our 1-month regression implies downside to consensus of -1% QoQ, and an implied China contribution of 12% vs. 46% in Q4.

For Advantest, Our regression suggests their China revenue is could be +35% YoY and -7% QoQ. Our 1-month regression implies slight downside to consensus of +5% QoQ, and an implied China contribution of 15% vs. 17% in Q4.

BERNSTEIN TICKER TABLE

			21 May 2026		TTM	Reported EPS				Reported P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
688012.CH (AMEC)	O	CNY	475.80	500.00	134.2%	CNY	3.40	4.95	7.18	139.9	96.2	66.2
002371.CH (NAURA)	O	CNY	662.99	680.00	74.9%	CNY	5.66	10.22	16.41	117.1	64.9	40.4
688072.CH (Piotech)	O	CNY	606.20	580.00	271.3%	CNY	3.32	8.12	12.40	182.6	74.6	48.9
8035.JP (Tokyo Electron)	O	JPY	48,800	59,200	75.5%	JPY	1,250.88	1,504.14	1,848.77	39.0	32.4	26.4
6525.JP (Kokusai)	O	JPY	7,005.00	8,240.00	94.0%	JPY	128.63	200.23	274.61	54.5	35.0	25.5
7735.JP (Screen)	M	JPY	10,730	12,600	65.2%	JPY	486.61	572.60	662.24	22.1	18.7	16.2
6857.JP (Advantest)	O	JPY	26,745	39,200	254.6%	JPY	534.21	735.65	870.09	50.1	36.4	30.7
AMAT (Applied Materials)	O	USD	427.36	525.00	138.3%	USD	9.42	12.17	15.56	45.4	35.1	27.5
LRCX (Lam Research)	O	USD	302.24	340.00	239.9%	USD	4.14	5.68	7.98	73.1	53.2	37.9
KLAC	O	USD	1,842.18	1,975.00	111.4%	USD	33.28	36.93	51.22	55.3	49.9	36.0
ASML (ASML)	O	USD	1,592.00	1,971.00	90.8%	USD	27.95	36.96	53.13	49.0	37.1	25.8
ASML.NA (ASML)	O	EUR	1,345.20	1,700.00	90.4%	EUR	24.72	32.69	46.98	54.4	41.1	28.6
ASIAx			1,891.82									
JPL			2,461.85									
SPX			7,432.97									
EDME			1,536.51									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

AMAT, LRCX, KLAC estimate is Adjusted EPS; AMAT, LRCX, KLAC valuation is Adjusted P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

NAURA (Outperform, CNY 680.00): As the domestic WFE leader, NAURA has the broadest product portfolio covering Deposition (PVD, CVD), Dry Etch (ICP), Thermo Processes, and Cleaning, as well as a more diverse client base covering leading logic, DRAM, NAND players, benefiting from the WFE domestic substitution in China with acceleration share gain.

AMEC (Outperform, CNY 500.00): Primarily focused on Dry Etch (CCP, ICP) with rapid expansion in Deposition (ALD, LPCVD, EPI), commonly perceived as the domestic WFE company with the best technology and widest global recognition, continue to benefit from the WFE domestic substitution in China with acceleration share gain.

Piotech (Outperform, CNY 580.00): Rising domestic WFE vendor primarily focused on Deposition (PECVD, HDPCVD, SACVD, ALD) with expansion in W2W and C2W hybrid bonding equipment for advanced packaging. Piotech has a strong track record of product innovation, which should allow it to benefit from the WFE domestic substitution in China with acceleration share gain.

Tokyo Electron (Outperform, ¥59,200): TEL is the #4 SPE supplier globally and the biggest Japanese SPE supplier with major presence in 6 product segments. It is expected to gain share and expand margins with competitive pricing after yen depreciation.

Kokusai (Outperform, ¥8,240.00): Batch ALD should see more adoption in advanced nodes especially GAA (gate-all-around). The biggest use of batch ALD is in NAND, and NAND capex recovery is accelerating.

Screen (Market-Perform, ¥12,600): Cleaning intensity is not increasing, and the market is competitive with both global rivals (TEL, Lam) and Chinese (ACMR, Naura). Potential upside from panel level packaging is worth watching.

Advantest (Outperform, ¥39,200): Benefits from rising testing intensity for HBM and Blackwell. As the dominant supplier for HBM tester (~65%) and Nvidia AI GPU (100% share), Advantest should be able to lift ASP and margin with product migration, especially with HBM4 in 2025.

AMAT (Outperform, \$525.00): Exposure to key inflections is strong and valuation vs peers remains attractive.

LRCX (Outperform, \$340.00): The company is benefiting from key inflections (GAA, packaging, HBM, NAND upgrades) and CY26 commentary seems supportive.

KLAC (Outperform, \$1,975.00): Amid positive WFE trends KLAC possesses structural growth drivers, a strong and durable competitive position, lower China replacement risk, and disciplined capital allocation, warranting premium valuation, in our view.

ASML (Outperform, EUR 1,700.00): We rate **ASML Outperform** with a PT of €1,700.00 with 26% upside, driven by DRAM capacity growth acceleration and EUV intensity increase in 1c node. ASML is the top pick of EU Semis.

DETAILS

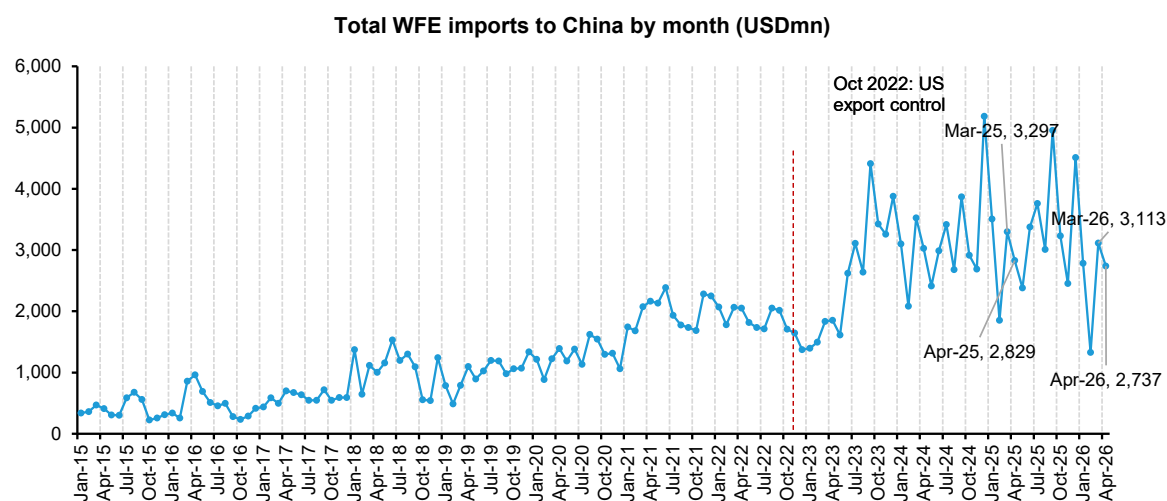
CHINA WFE IMPORT OVERVIEW

China is becoming increasingly important in the global WFE market, and there is intense debate around the sustainability of the demand, tracking the import data to China would provide valuable insights. The China Customs statistics website ([link](#)) provides data on monthly Wafer Fabrication Equipment (WFE) imports to China. This data includes a detailed breakdown by equipment type and region. More details on the data source and analysis methodology are illustrated in the appendix.

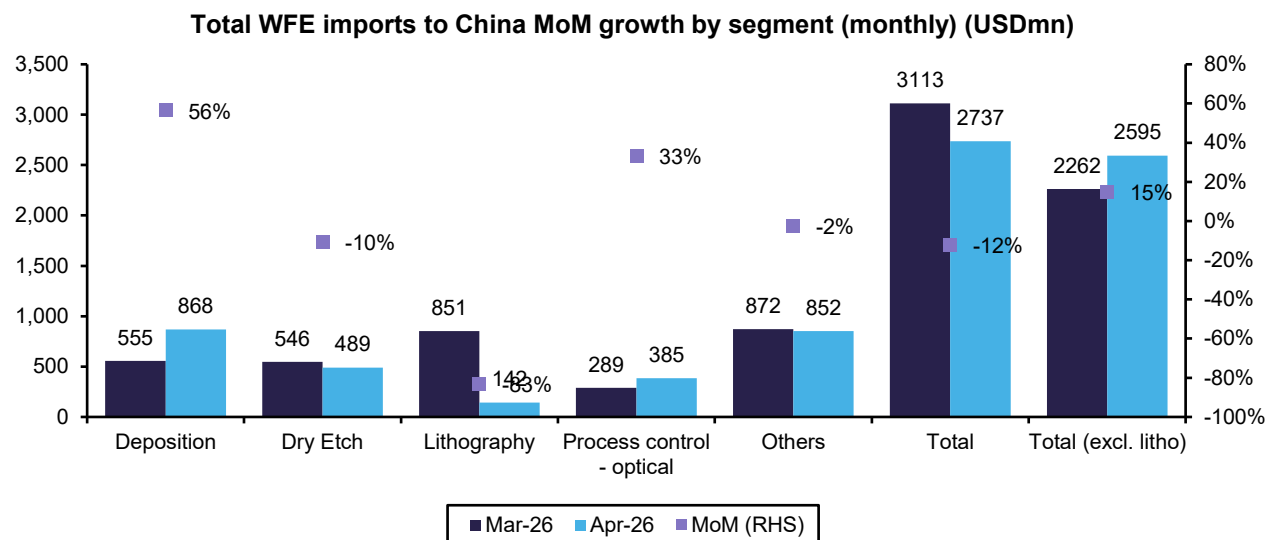
Key statistics for the overall imports are summarized in the below charts:

- **Monthly import data** ([Exhibit 1](#), [Exhibit 2](#), [Exhibit 3](#)): Apr import was \$2.7bn, lower than last year's average of \$3.2bn/month.
- **By equipment, lithography import in April was extremely low, only at USD 142 mn.** While other equipment largely remained flattish, process control, lithography, and other equipment showed double-digit decline YoY. By equipment and by import region, Singapore, Malaysia showed double-digit growth.

EXHIBIT 1: **April import was \$2.7 billion**

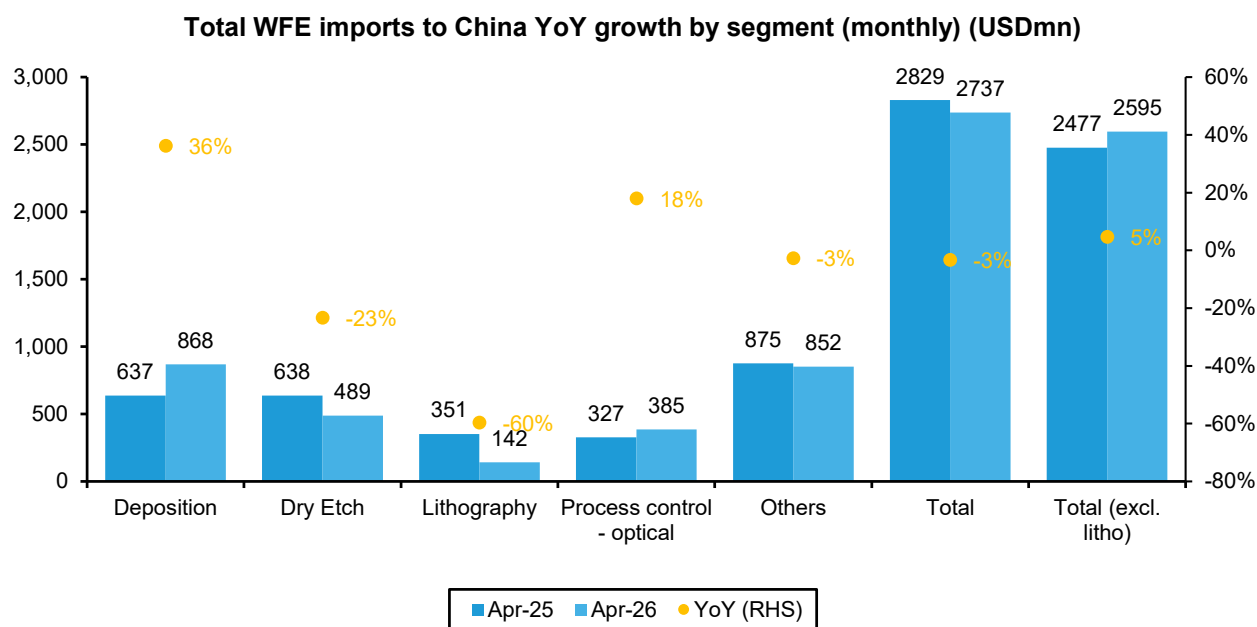


Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 2: Month-over-month showed 12% decline, mostly dragged down by lithography import.

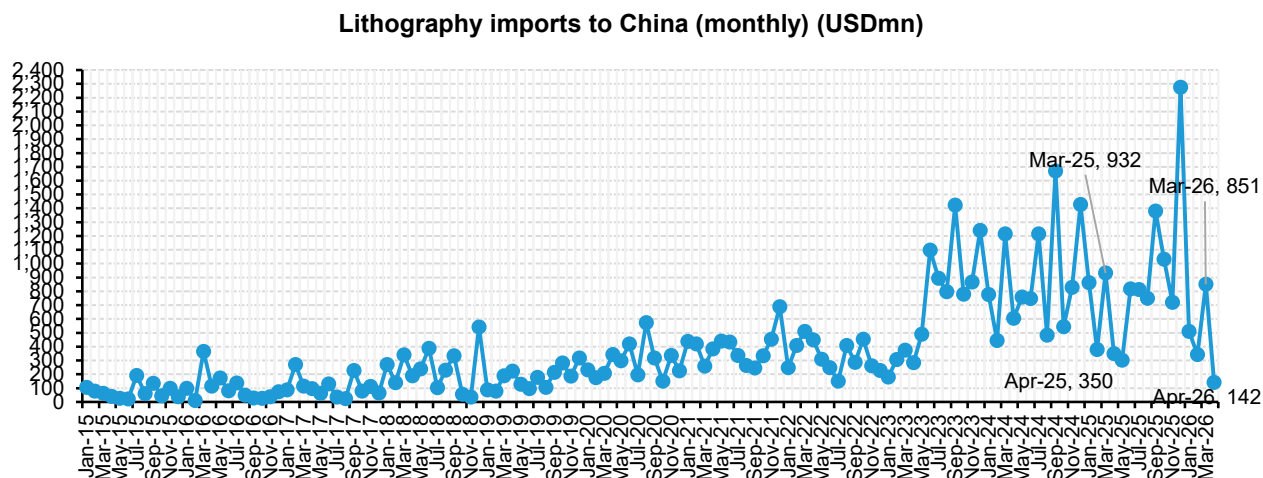
Others include: RTP and Oxidation/Diffusion (84862010), Doping (84862050), and Other equipment used in semiconductor devices or integrated circuits manufacturing (84862090)

Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 3: The year-over-year figures only show a modest decline, given that weak lithography imports were offset by stronger deposition imports.

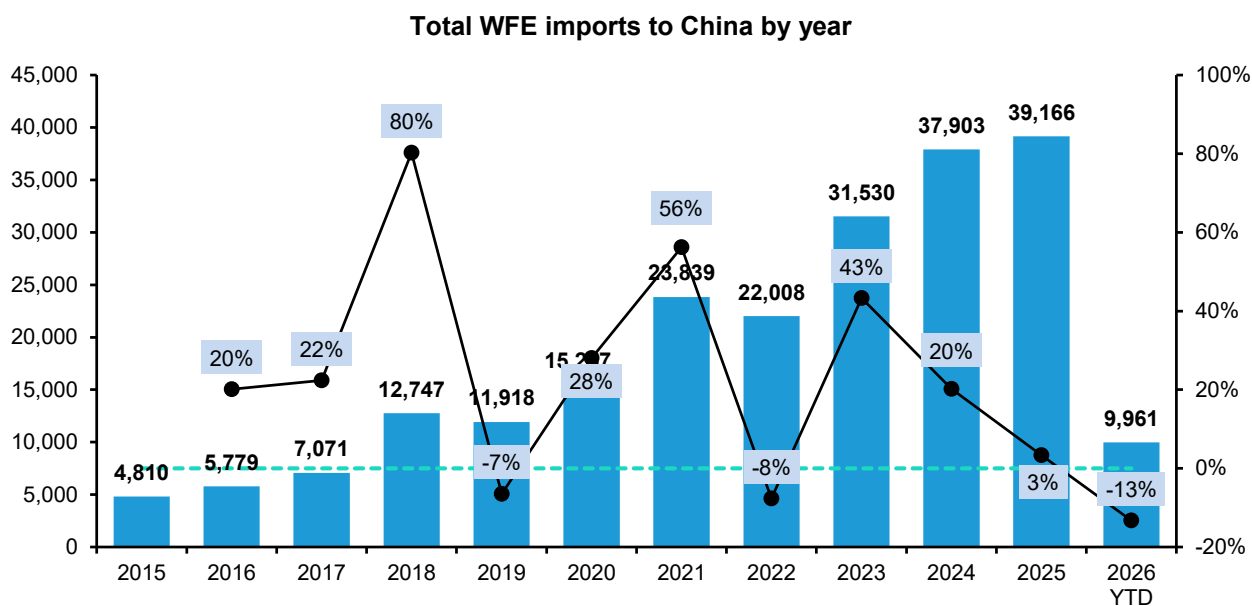
Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 4: The lithography import was \$142mn in Apr 2026, much weaker than last year



Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 5: 2026 YTD import -13% YoY



Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

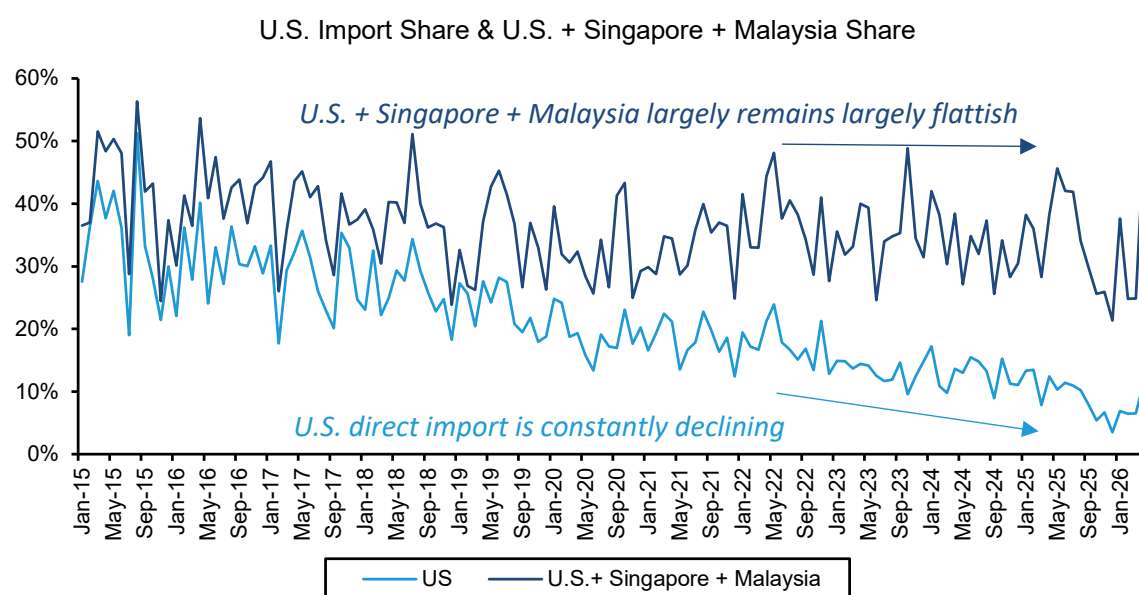
BY REGION & BY EQUIPMENT TYPE SEGMENTATION

From the imports by region breakdown, [Exhibit 7](#) and [Exhibit 8](#) reveal imports from the Netherlands has increased since 2023 due to aggressive lithography imports.

By region, US and SEA imports combined continue to gain share. 2026 YTD US+Malaysia+Singapore import share was 44%, while 2025 US+Malaysia+Singapore import share 35% and 33% in 2024; 2026 YTD Japan import share was 18%, while 2025 Japan import share was 23% and 26% in 2024; 2026 Netherlands import share was 19%, while 25% in both 2025 & 2024.

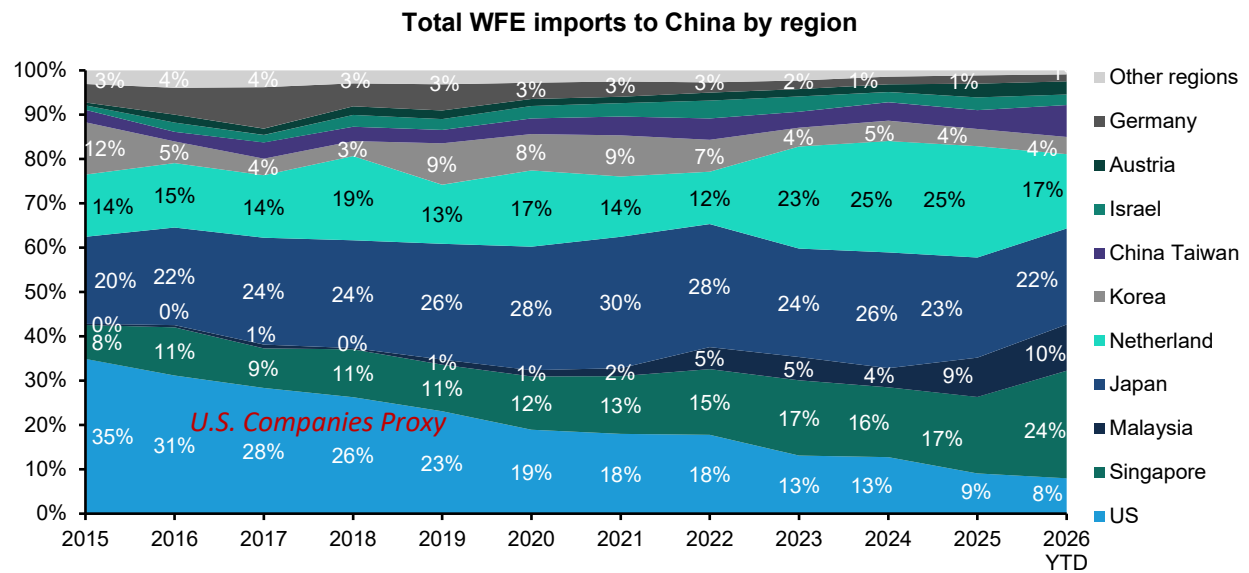
Excluding lithography, there has been a gradual uptick in imports from Singapore/Malaysia since 2021, coupled with a decrease in imports from the US ([Exhibit 8](#)). This trend is likely influenced by US suppliers opting to ship goods from their Singapore/Malaysia production facilities to China instead of directly from the US manufacturing sites (for example, Applied Materials has a Singapore manufacturing site).

EXHIBIT 6: U.S. import share & U.S. + Singapore + Malaysia import share



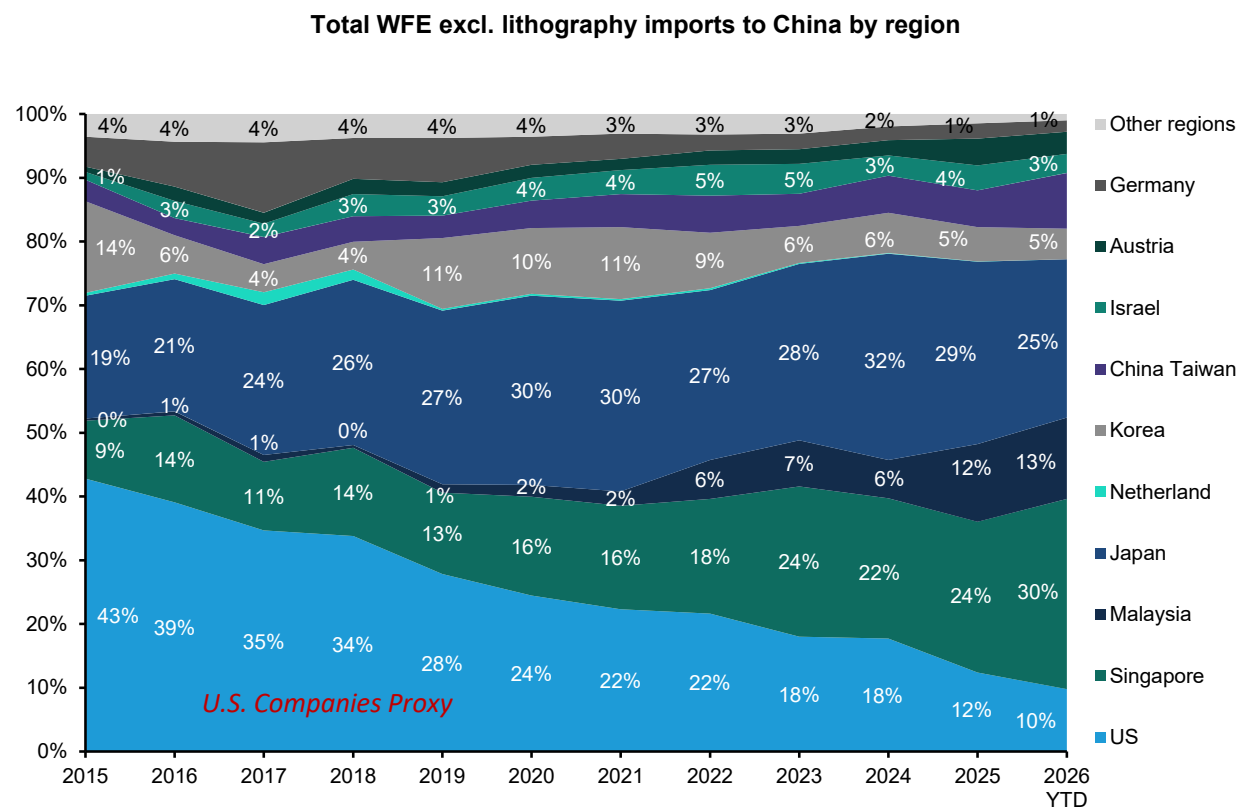
Source: China Custom, Bernstein analysis

EXHIBIT 7: **Netherlands' share was flattish, Japan decreased by 3ppt, US+Singapore+Malaysia in aggregate grew slightly**



Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 8: **Excluding lithography, there has been a gradual uptick in imports from Singapore and Malaysia to offset the share loss for US, indicating a shift in production for US vendors.**

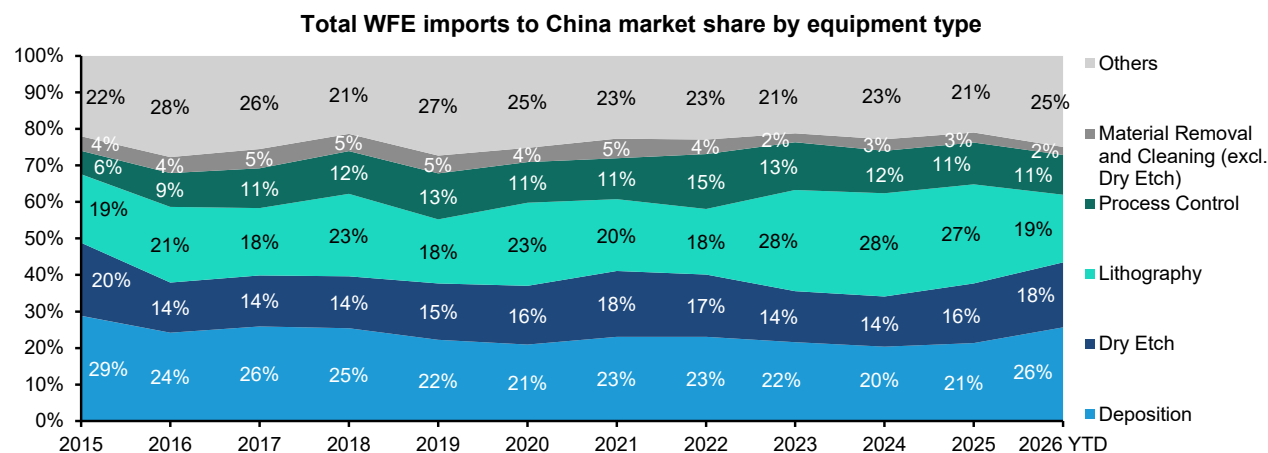


Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

For the imports by equipment type breakdown ([Exhibit 9](#)), Lithography's 2024 share remains high at 28% and is the same as 2023 full-year average (28%). 2025 the share dropped by 1ppt to 27%. 2026 the share dropped by 1ppt to 25%.

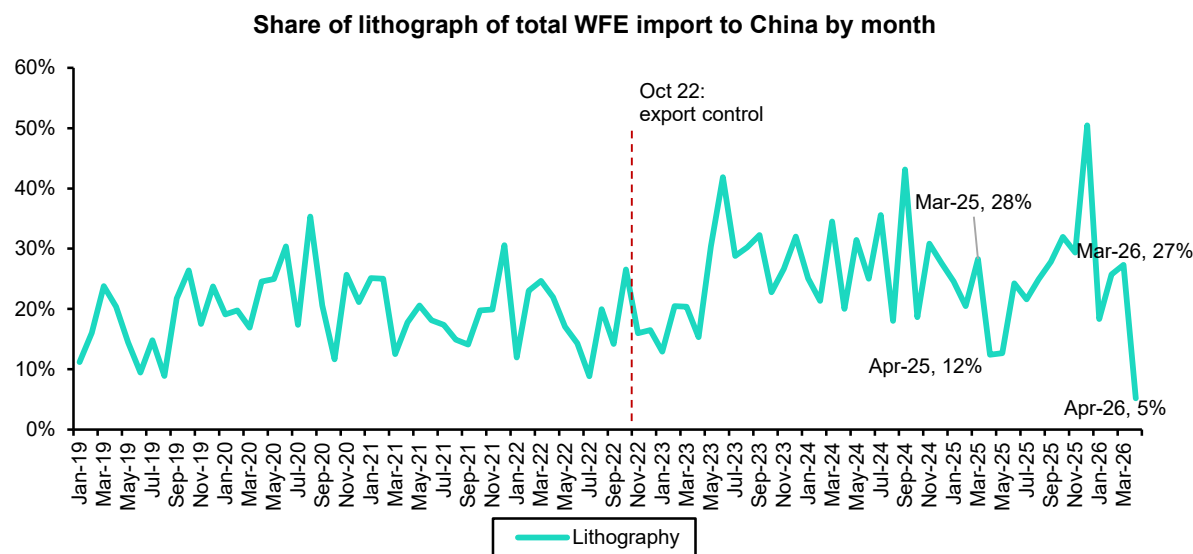
If we further zoom into lithography's monthly import share, it didn't change immediately after Oct 2022 export control, but it took off in June 2023 ([Exhibit 10](#)). By region, the Netherlands's share in lithography imports started to increase in Aug 2023 ([Exhibit 11](#)), and its share gradually expanded over 2024, reaching a record-high level at 94% in July 2024, and Dec 2024 hit another record high at 94%. 2024 hit a record high at 89% ([Exhibit 12](#)).

EXHIBIT 9: In 2025, imported Lithography intensity just slightly dropped by 1ppt, further declined in 2026

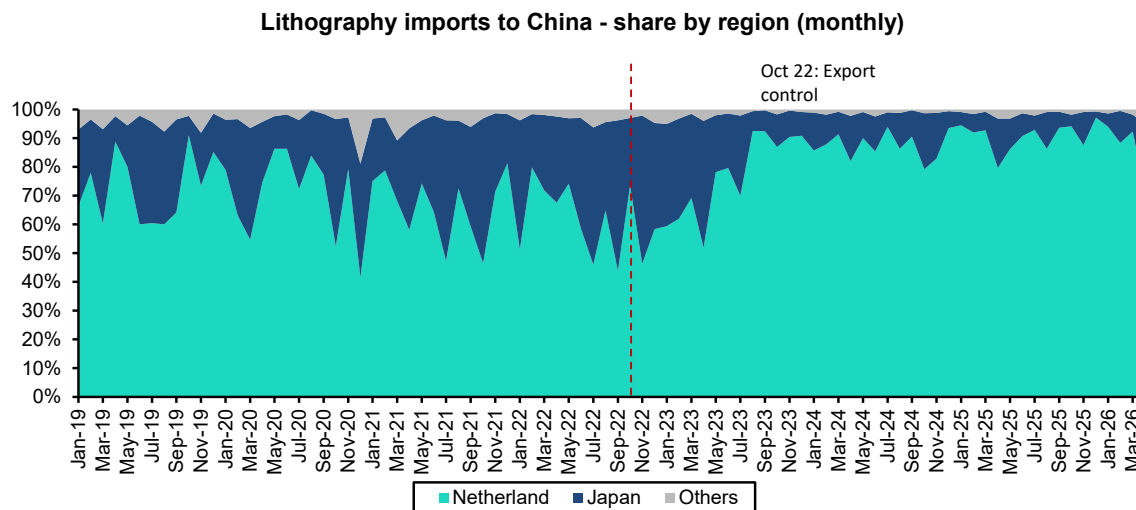


Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

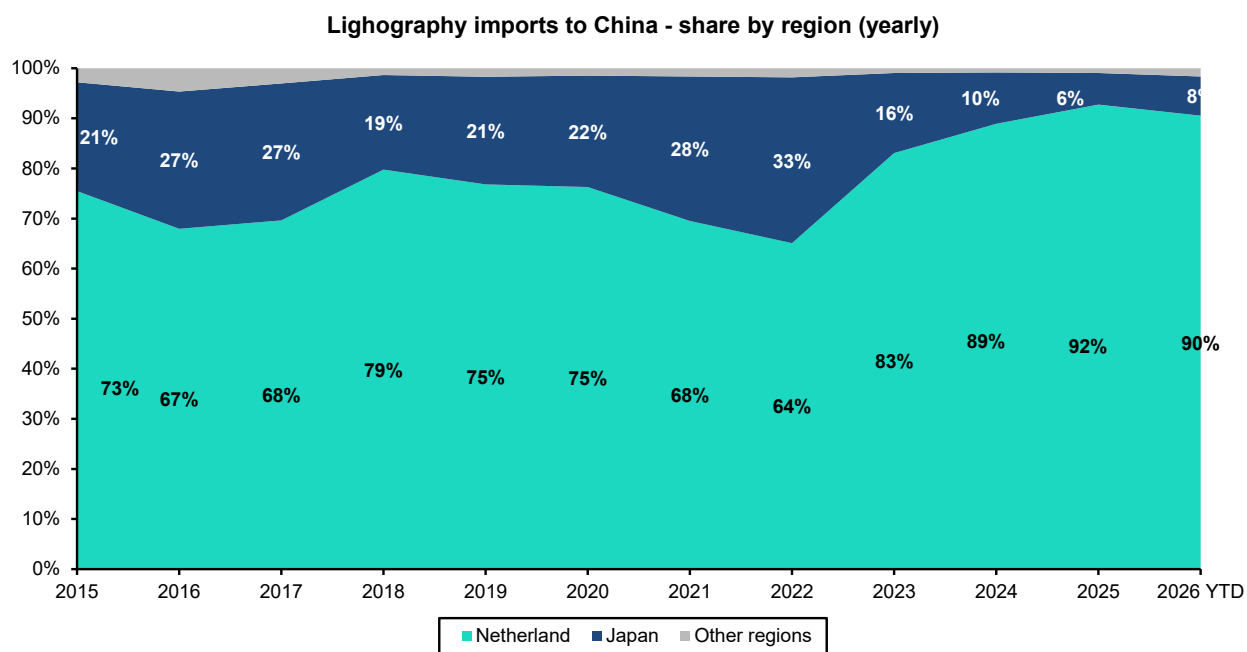
EXHIBIT 10: The share of lithography imports was only 5%, hitting a record low



Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 11: **Share of lithography imports from Japan has decreased since Aug 2023 and remains relatively low.**

Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 12: **Netherlands' lithography imports share increased materially after 2022 and is still increasing in 2025**

Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

REGRESSION ANALYSIS

ASML

April imports of EUR 87Mn were down 87% MoM and 65% YoY, marking the lowest datapoint since July 2022. Our regression model, based on 1M of data, estimates that China sales will decline sharply to EUR 0.44Bn in Q1, down 64% QoQ and 71% YoY, reflecting weak imports in April. This implies that China will represent only 7% of total system sales in Q2. Monthly import data can be lumpy. During Q1 results, ASML reiterated that China revenue is expected to decline to 20% of total revenue in FY26, compared to 33% in FY25. While we believe China demand will remain resilient, supported by strong investment in capacity expansion, we now forecast China revenue to decline in line with guidance, with potential upside to guidance if ASML's capacity of DUV supply improves.

China lithography import data published on the China Customs statistics website has proven useful in predicting ASML's China systems revenue. Our regression model, using one month of data for a given quarter, has a relatively high R^2 of 0.79, indicating solid predictive power. China's lithography imports in April was EUR 87Mn, down 87% MoM and down 65% YoY compared to April 2025 ([Exhibit 13](#)).

Our regression model estimates that China sales will decline sharply to EUR 0.44Bn in Q1, down 64% QoQ and 71% YoY, reflecting weak imports in April. This implies China revenue representing only 7% of Q2 total system sales, down 12 percentage points sequentially compared to Q1 and 20 percentage points lower than the Q2 2025 level of 27%. During Q1 results, ASML reiterated that China revenue is expected to decline to 20% of total revenue in FY26, compared to 33% in FY25. ([Exhibit 14](#), [Exhibit 15](#), [Exhibit 16](#), [Exhibit 16](#)).

While we believe China demand will remain resilient, supported by strong investment in capacity expansion, we now forecast China revenue to decline in line with guidance, with potential upside to guidance if ASML's capacity of DUV supply improves.

EXHIBIT 13: The correlation between monthly China litho imports and ASML's quarterly China systems revenue (divided by 3) is fairly solid. April imports of EUR 87Mn were down 87% MoM and 65% YoY, marking the lowest datapoint since July 2022.



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 14: Our regression yields an R2 of 0.79 indicating robust predictive power using 1 month of data. The implied China revenue for 2Q26 is EUR 0.44Bn due to weak litho imports in April.

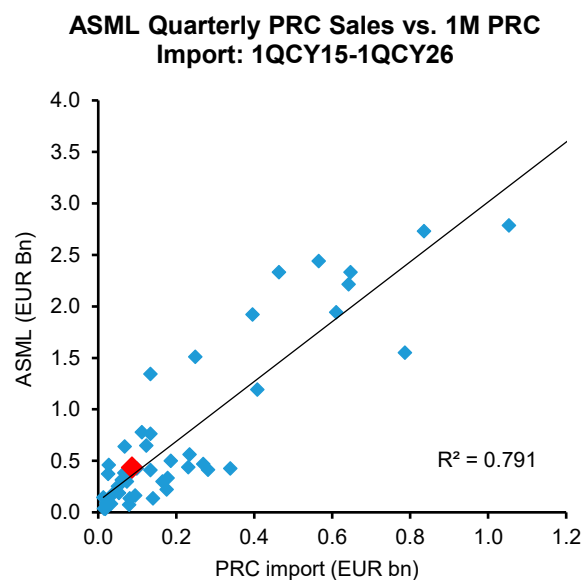


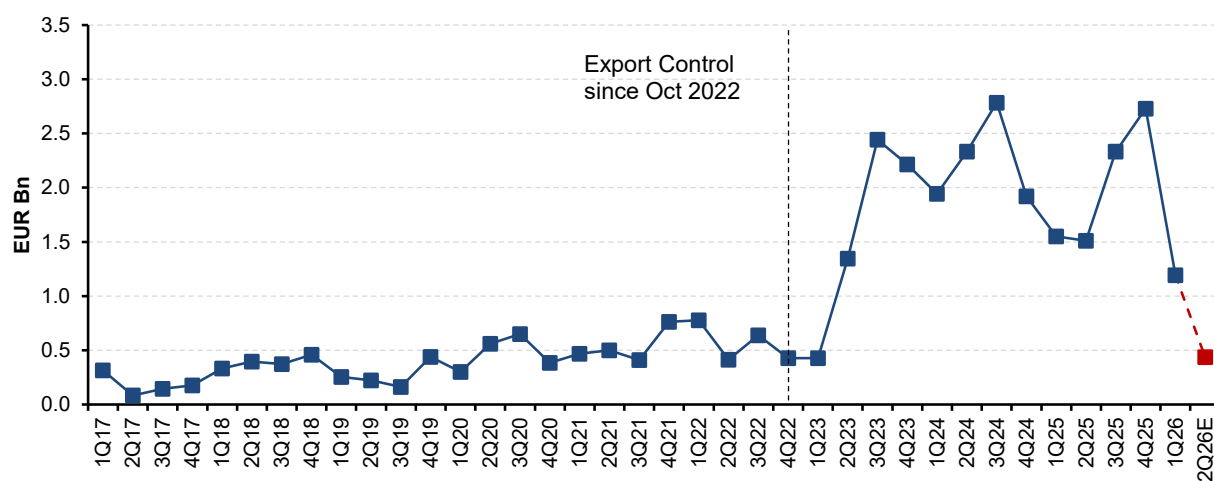
EXHIBIT 15: The predicted systems sales from China at EUR 0.44Bn represents a 71% decline QoQ. This implies China revenue representing only 7% of Q2 total system sales.

	Revenue (EUR Mn)			YoY	QoQ
	2QFY25	1QFY26	2QFY26E		
ASML China System Sales	1,511	1,193	435	-71%	-64%
ASML System Sales	5,596	6,279			
Bernstein			6,357	14%	1%
Consensus			6,311	13%	1%
China as % of System Sales	27%	19%			
Bernstein			7%	-20%	-12%
Consensus			7%	-20%	-12%

Source: Company reports, General Administration of Customs of the People's Republic of China, Bloomberg, Bernstein estimates and analysis

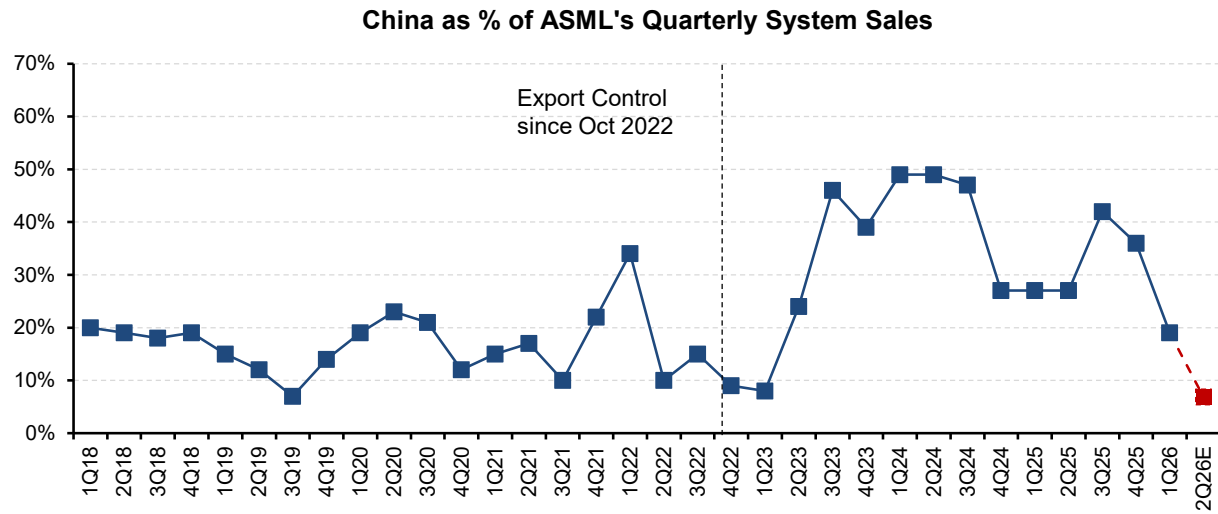
EXHIBIT 16: Our estimate for ASML's China system sales in Q2 implies a 64% QoQ decline and a 71% YoY drop, marking the lowest level since the restrictions were introduced.

ASML China Quarterly System Sales



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 17: Based on our estimate of ASML's China system sales, we expect China's contribution to decline to 7% of total system sales, the lowest level in over five years

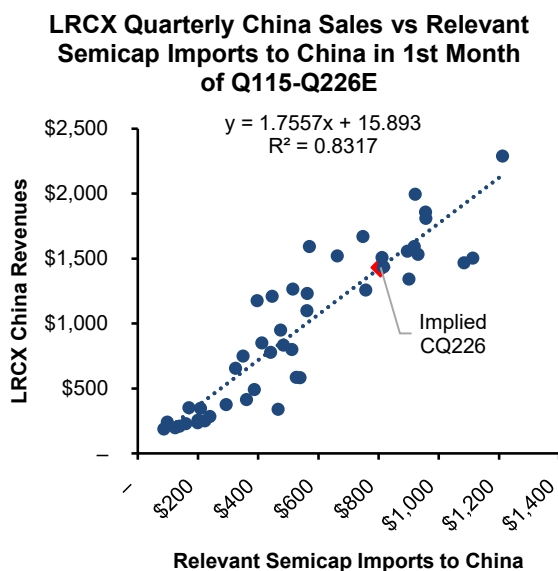


Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

LAM RESEARCH (LRCX), APPLIED MATERIALS (AMAT), AND KLA CORPORATION (KLAC)

For LRCX, the R^2 on the 1-month correlation is ~0.83 and hence should have decent predicting power. The April data (1-month correlation) suggests Jun-Q China revenues would decrease ~28% QoQ, with China exposure landing at ~22% of total revenues based on consensus revenue estimates (**Exhibit 18, Exhibit 19**). This appears at least directionally consistent with management commentary that China exposure will decline sequentially in the June quarter (**Exhibit 20**).

EXHIBIT 18: LRCX 1-month regression yields R2 of 0.83 and should have decent predictive power...



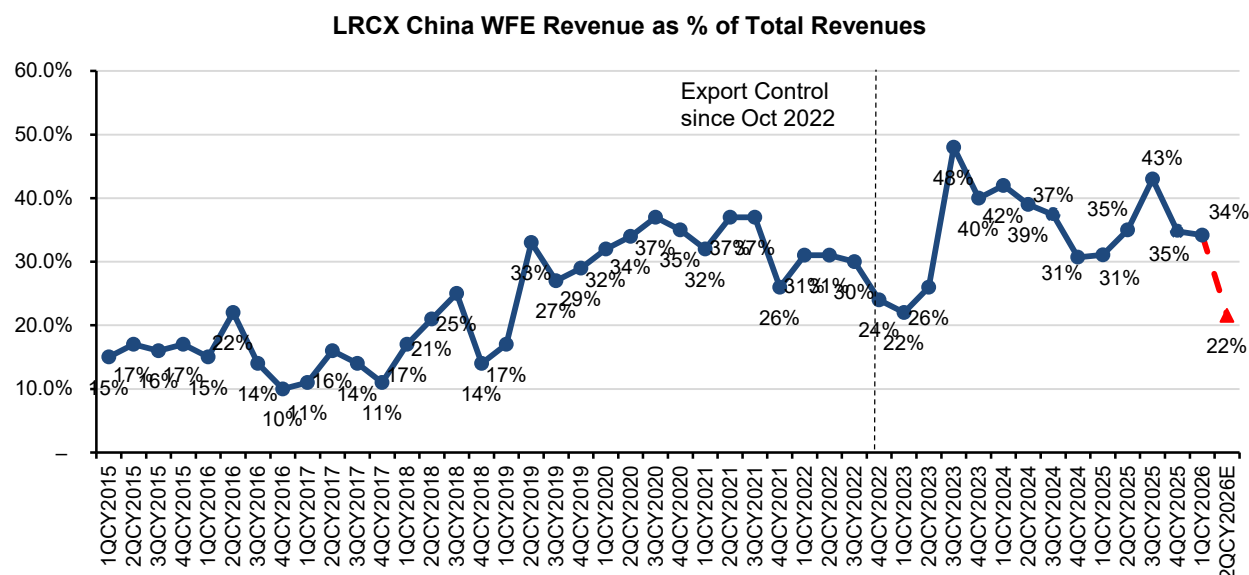
China semicap imports relevant for LRCX, given their manufacturing footprint, include shipments from the U.S., Malaysia, Korea, Taiwan and Austria
Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 19: ...with our analysis suggesting China revenues for LRCX down ~28% sequentially in Jun-Q...

LRCX	Revenues (\$M, USD)			YoY	QoQ
	2QCY2025	1QCY2026	2QCY2026E		
China Revenues (incl. Predicted Value)	\$1,810	\$1,997	\$1,432	(20.9%)	(28.3%)
Total Revenues (incl. Consensus Estimate)	\$5,171	\$5,841	\$6,646	28.5%	13.8%
China as % of Total	35.0%	34.2%	21.6%		

Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 20: ...with overall Jun-Q China exposure predicted at ~22% vs Mar-Q exposure of ~34%



Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

AMAT has already reported their April quarter results, hence the April data (3-month correlation) carries no predictive power, rather we will use it as a check/verification. To that end, the correlation suggested China revenues would be flattish in the quarter, and land at ~26.5% revenue exposure, with AMAT's actual results indicating China revenues were flattish QoQ and were at ~26.4% revenue exposure, in-line with our regression (**Exhibit 21, Exhibit 22, Exhibit 23**).

EXHIBIT 21: The AMAT 3-month regression yield R2 of 0.87 and hence should have solid predictive power...

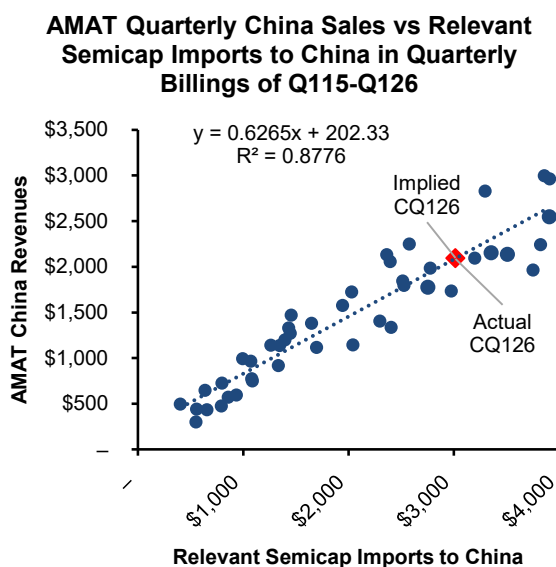


EXHIBIT 22: The regression predicted AMAT's China revenue would be flattish in the April quarter vs the actual flattish growth reported by the company last week, in-line with results

AMAT	Revenues (\$M, USD)			YoY	QoQ
	1QCY2025	4QCY2025	1QCY2026		
China Revenues	\$1,774	\$2,095	\$2,087	17.6%	(0.4%)
China Revenues (incl. Predicted Value)			\$2,097	18.2%	0.1%
Total Revenues	\$7,100	\$7,012	\$7,910	11.4%	12.8%
China as % of Total	25.0%	29.9%	26.4%		
Predicted China as % of Total			26.5%		

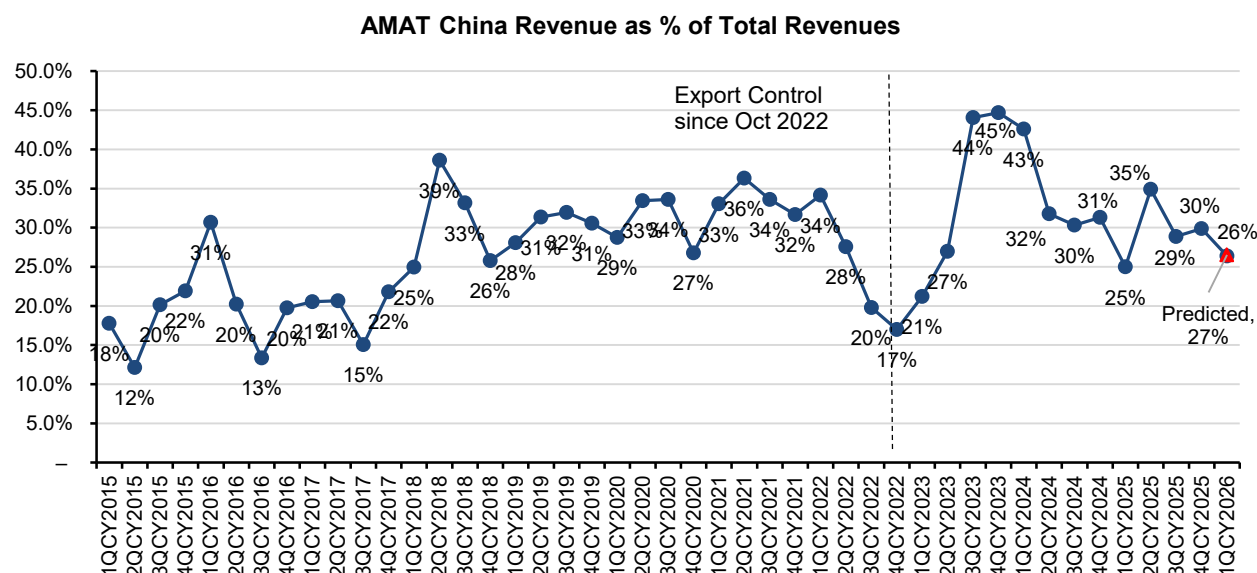
Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

Normalized for AMAT Fiscal Quarter's ~1 month offset.

China semicap imports relevant for AMAT, given their manufacturing footprint, include shipments from the U.S., Singapore, Taiwan, Germany, and Israel.

Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

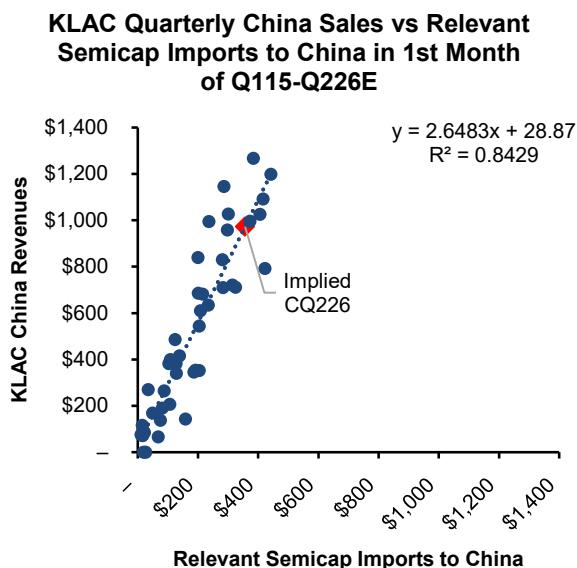
EXHIBIT 23: AMAT's China exposure fell to ~26.4% in the Apr-Q, in-line with the ~26.5% predicted value from our regression analysis



Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

For KLAC, the R^2 on the 1-month correlation is ~0.84 and hence should have decent predicting power. The April data (1-month correlation) suggests Jun-Q China revenues would increase ~17% QoQ, with China exposure landing at ~27% of total revenues based on consensus revenue estimates (**Exhibit 25, Exhibit 19**). Management didn't provide guidance for their China revenue exposure this quarter, but mentioned that overall China WFE will grow at a slower rate than broader WFE this year (**Exhibit 20**).

EXHIBIT 24: The KLAC 1-month regression yields R^2 of 0.84 and hence should have decent predictive power...



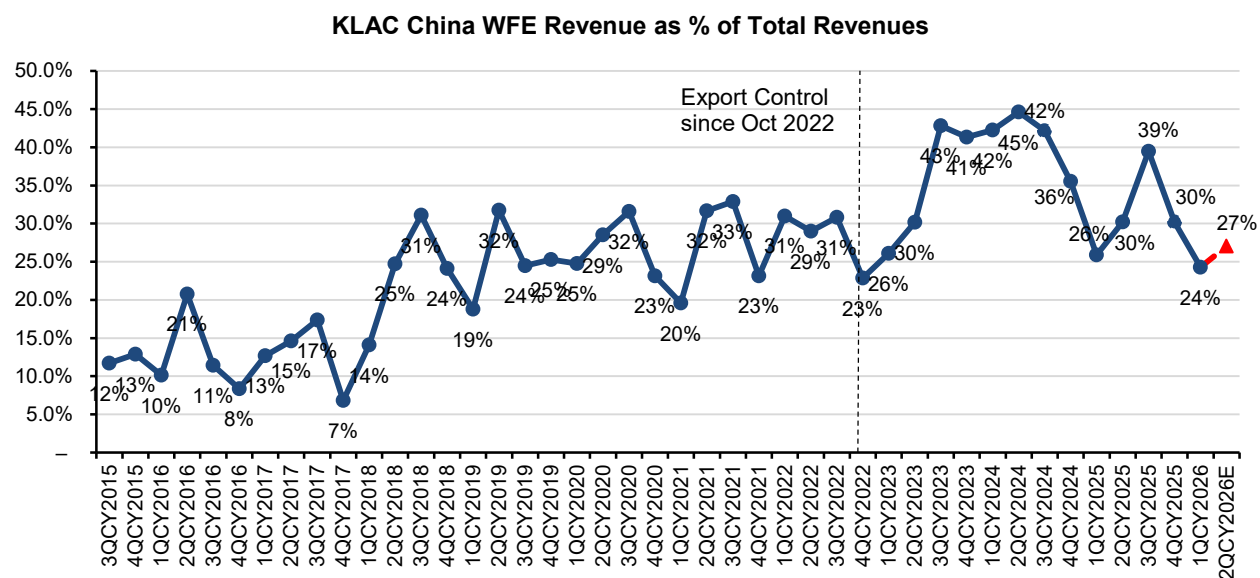
China semicap imports relevant for KLAC include global process control tools.
Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 25: ...with our analysis suggesting China revenues for KLAC up ~17% sequentially in the Jun-Q...

KLAC	Revenues (\$M, USD)			YoY	QoQ
	2QCY2025	1QCY2026	2QCY2026E		
China Revenues (incl. Predicted Value)	\$959	\$830	\$973	1.5%	17.3%
Total Revenues (incl. Consensus Estimate)	\$3,175	\$3,415	\$3,599	13.4%	5.4%
China as % of Total	30.2%	24.3%	27.0%		

Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 26: ...with overall Jun-Q China exposure predicted at ~27% vs Mar-Q exposure of ~24%

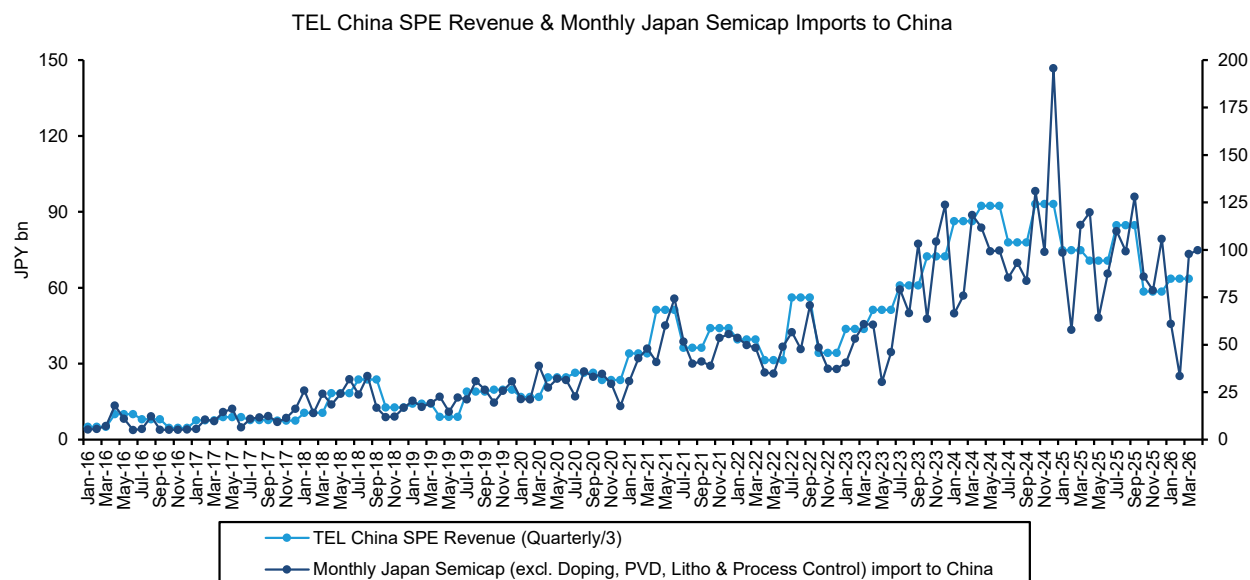


Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

TOKYO ELECTRON (TEL)

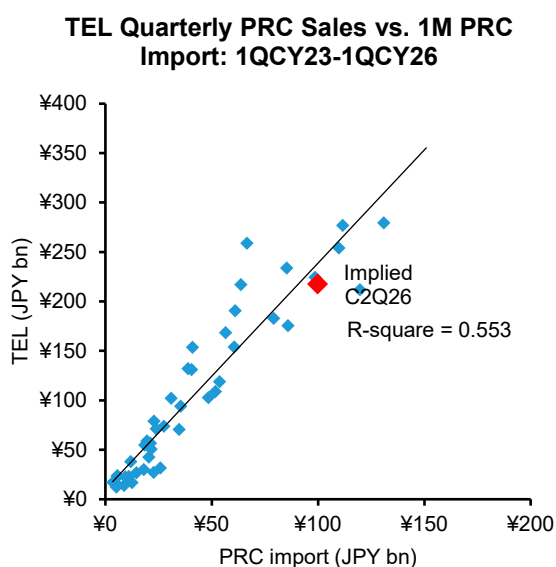
For TEL, the R^2 on the 1-month correlation is ~0.53 and hence should have limited predicting power. April import data suggests China revenues would be +14% QoQ. Based on consensus revenue estimates, China exposure is expected to be up to 32% of SPE revenues (Exhibit 27-Exhibit 30).

EXHIBIT 27: There is good correlation between the monthly imports to China and TEL's quarterly SPE revenue from China divided by 3 without a notable time shift between them.



Source: Company disclosures, General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 28: China import yields decent correlation with TEL's China revenue.



Source: Company disclosures, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

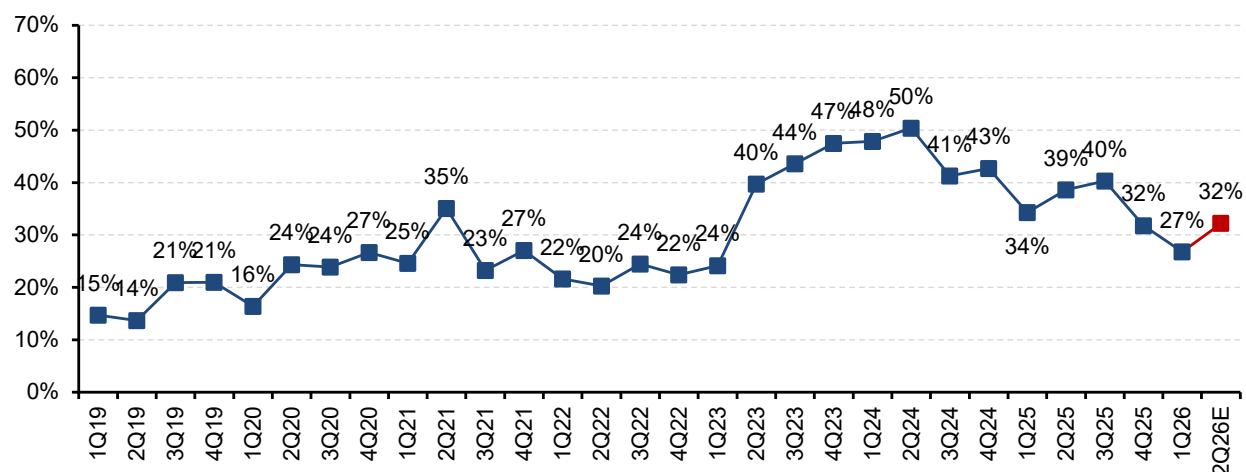
EXHIBIT 29: The regression suggests TEL's revenue from China to be +14% QoQ in JunQ.

	Revenue (JPY B)		QoQ
	4QFY26 (1QCY26)	1QFY27E (2QCY26E)	
China SPE	191	218	14%
Total SPE	703		
Bernstein		756	8%
Consensus		677	-4%
China as % of Total SPE Rev	27%		
Bernstein		29%	2%
Consensus		32%	5%

Source: Company disclosures, General Administration of Customs of the People's Republic of China, Bloomberg, Bernstein estimates and analysis

EXHIBIT 30: ...with implied China exposure of 32% vs MarQ exposure of 27%

China as % of TEL's Quarterly SPE Revenue



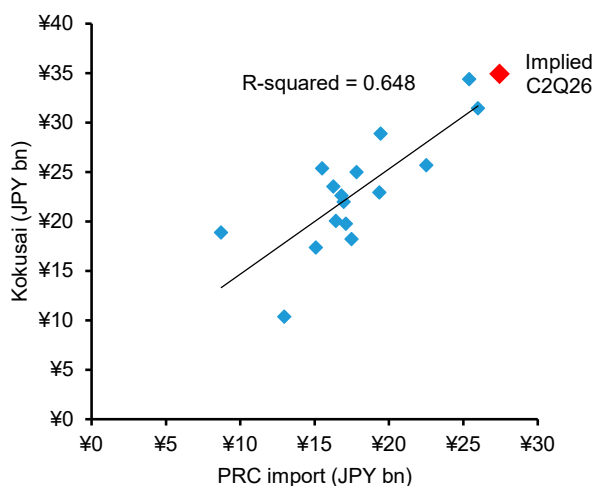
Source: Company disclosures, General Administration of Customs of the People's Republic of China, Bloomberg, Bernstein estimates and analysis

KOKUSAI

For Kokusai, the R^2 on the 1-month correlation is ~0.65 and hence should have decent predicting power. April import data suggests China revenues could be +101% QoQ. Based on consensus revenue estimates, China exposure is implied to jump back to 51% of total revenues (Exhibit 31-Exhibit 33).

EXHIBIT 31: Kokusai's Quarterly China sales shows decent correlation with monthly import.

Kokusai Quarterly PRC Sales vs. 1M PRC Import: 2QCY22-1QCY26



Source: Company disclosures, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

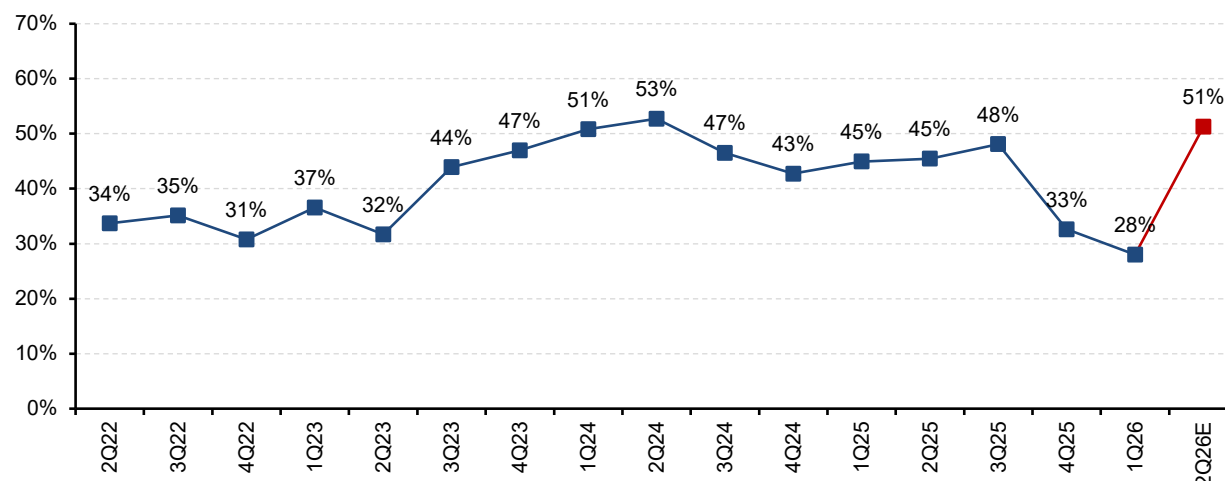
EXHIBIT 32: The regression suggests Kokusai's revenue from China to be +101% QoQ in JunQ.

	Revenue (JPY bn)		QoQ
	4QFY26 (1QCY26)	1QFY27E (2QCY26E)	
PRC Sales	17	35	101%
Total Sales	62		
Bernstein		74	19%
Consensus		68	10%
PRC %	28%		
Bernstein		47%	19%
Consensus		51%	23%

Source: Company disclosures, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 33: ...with implied China exposure at 51% vs MarQ exposure of 28%

China as % of Kokusai's Quarterly SPE Revenue

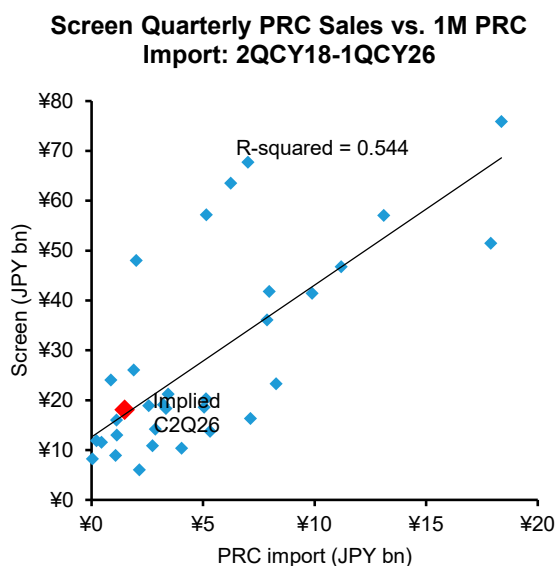


Source: Company disclosures, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

SCREEN

For Screen, the R^2 of the 1-month correlation is ~0.54, indicating some predicative power. The April import data suggests that China revenues could be -73% QoQ. Based on consensus revenue estimates, implied China exposure is expected to be 12% of SPE revenues (Exhibit 34-Exhibit 36).

EXHIBIT 34: Screen's Quarterly China sales shows some correlation with monthly import.



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

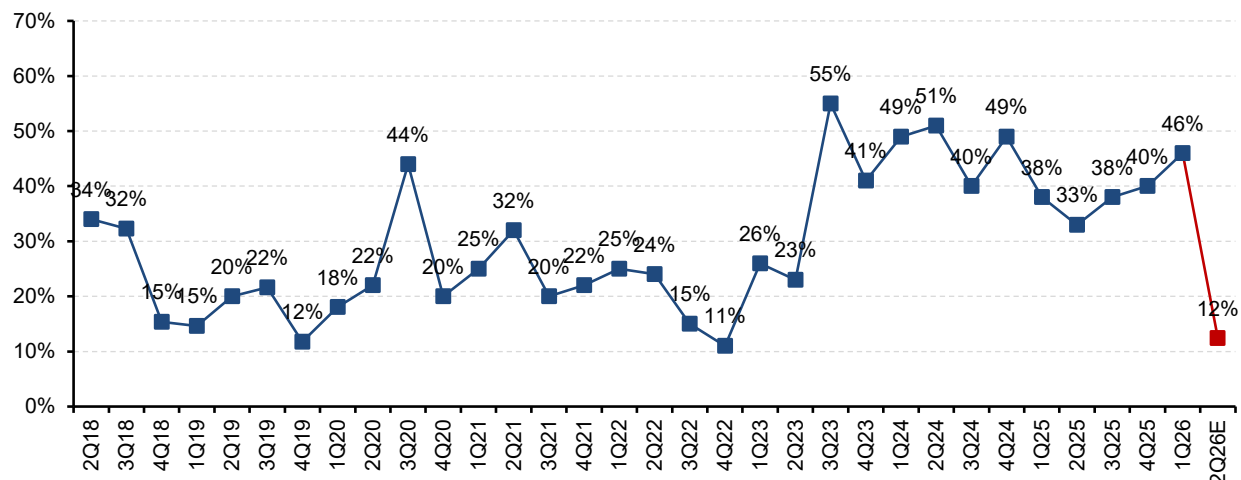
EXHIBIT 35: The regression suggests Screen's revenue from China to be -73% QoQ.

	Revenue (JPY bn)		QoQ
	4QFY26 (1QCY26)	1QFY27E (2QCY26E)	
China Sales	68	18	-73%
Total SPE	147		
Bernstein		121	-18%
Consensus		146	-1%
China %	46%		
Bernstein		15%	-31%
Consensus		12%	-34%

Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 36: ...with overall China exposure predicted at 12% vs DecQ exposure of 46%

China as % of Screen's Quarterly SPE Revenue

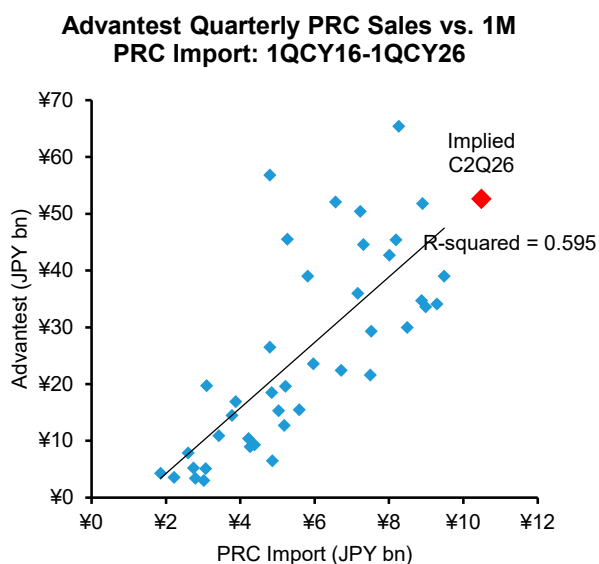


Source: Company disclosures, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

Advantest

For Advantest, the R^2 on the 1-month correlation is ~0.60, indicating some predicting power. April import data suggests China revenues could be -7% QoQ. Based on consensus revenue estimates, China exposure is implied to be dropping to 12%, down from 15% in MarQ. (Exhibit 37-Exhibit 39)

EXHIBIT 37: Advantest's Quarterly China sales shows decent correlation with monthly import.



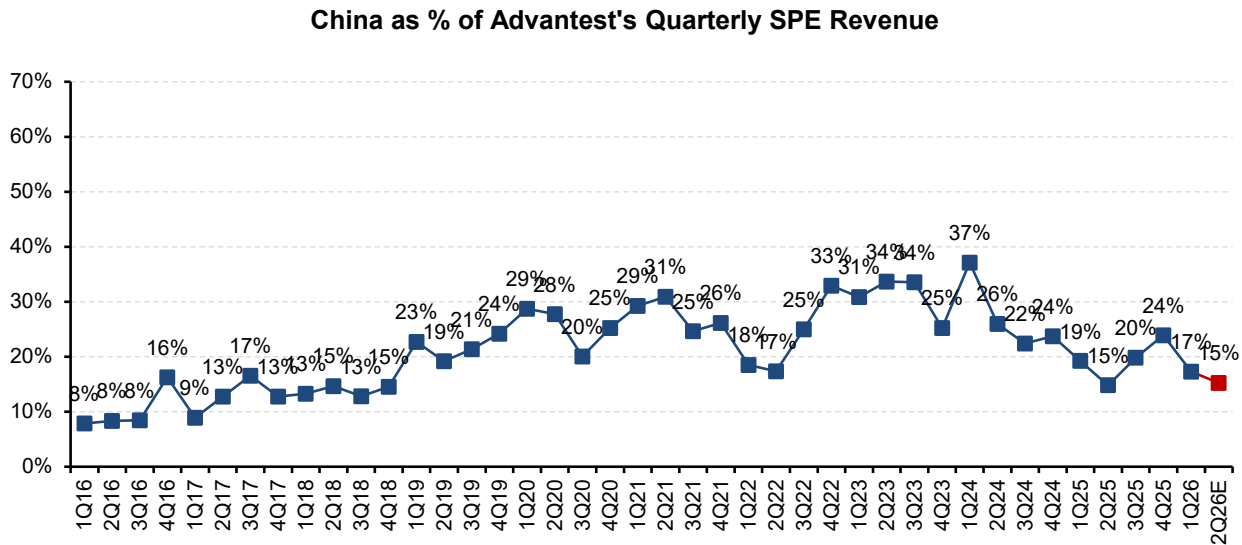
Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 38: Our regression suggests Advantest's China sales to be -7% QoQ in MarQ.

	Revenue (JPY bn)		QoQ
	4QFY26 (1QCY26)	1QFY27E (2QCY26E)	
PRC Sales	57	53	-7%
Total Sales	328		
Bernstein		346	5%
Consensus		346	5%
PRC %	17%		
Bernstein		15%	-2%
Consensus		15%	-2%

Source: Company disclosures, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 39: ...with overall China exposure predicted at 17% vs SepQ exposure of 15%



Source: Company disclosures, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

APPENDIX: DATA SOURCE AND ANALYSIS METHODOLOGY

We collected the data from the China Customs statistics website ([link](#)), with two major filters:

Equipment types, including 11 codes:

- 84862010: RTP and Oxidation/Diffusion (制半导体器件或IC的氧化扩散等热处理设备)
- 84862021: Deposition - CVD (制造半导体器件或IC的化学气相沉积装置)
- 84862022: Deposition - PVD (制造半导体器件或IC的物理气相沉积装置)
- 84862029: Deposition - Others (其他制半导体器件或集成电路用薄膜沉积设备)
- 84862031: Lithography - Stepper (制半导体器件或集成电路用的分步重复光刻机), which include the following examples:
 - Steppers (for back-end use), 制造半导体器件或集成电路用分布重复光刻机 (后道用)
 - Front-end krypton fluoride (KrF) stepper 制造半导体器件或集成电路用分布重复光刻机 (前道用氟化氪 (KrF) 光刻机)
 - Front-end i-line stepper 制造半导体器件或集成电路用分布重复光刻机 (前道用 I 线光刻机)
 - Other steppers 其他制造半导体器件或集成电路用分布重复光刻机
- 84862039: Lithography (excl. stepper) (其他投影绘制电路图的制半导体器件或IC的装置), which include the following examples:
 - ArF lithography (excl. stepper) 制造半导体器件或集成电路用的氟化氪 (ArF) 光刻机 (步进式除外)
 - KrF lithography (excl. stepper) 制造半导体器件或集成电路用的氟化氪 (KrF) 光刻机 (步进式除外)
 - EUV (excl. stepper) 制造半导体器件或集成电路用的极紫外 (EUV) 光刻机 (步进式除外)
 - ArFi lithography (excl. stepper) 制造半导体器件或集成电路用的氟化氪浸没式 (ArFi) 光刻机 (步进式除外)
 - Other lithography 未列名制造半导体器件或集成电路用的光刻设备
 - I-line lithography (excl. stepper) 制造半导体器件或集成电路用的 I 线光刻机 (步进式除外)
- 84862041: Dry Etch (制造半导体器件或IC的等离子体干法刻蚀机)
- 84862049: Material Removal and Cleaning (excl. Dry Etch) (制造半导体器件或IC的其他刻蚀及剥离设备)
- 84862050: Doping (制造半导体器件或集成电路用的离子注入机)
- 84862090: Other equipment used in semiconductor devices or integrated circuits manufacturing (其他制半导体器件或集成电路用的机器及装置)
- 90314100: Process Control - Optical (full name: Optical instruments and apparatus for testing semiconductor wafers and devices (including integrated circuits) or testing photomasks and gratings when manufacturing semiconductor devices (including integrated circuits) 制造半导体器件 (包括集成电路) 时检测半导体晶圆、器件 (包括集成电路) 或检测光掩膜、光栅用的光学仪器及器具)
- Note that the definition of each equipment type can't be strictly mapped to Gartner's categorization; for example, we believe CMP is classified into others in this dataset, while it's a separate category in Gartner's definition.

- Material removal & cleaning category here excludes dry etch equipment (even though dry etch equipment is a type of material removal equipment categorized by Gartner).
- Process Control equipment mainly includes two types: electronic beam and optical; the category 90314100 here only includes optical equipment.

Trading Partners by region, including 10 codes:

- 309: Netherland
- 502: United States
- 116: Japan
- 133: Korea
- 143: China Taiwan
- 132: Singapore
- 304: Germany
- 115: Israel
- 315: Austria
- 122: Malaysia
- LRCX has manufacturing sites in Austria, Korea, Malaysia, China Taiwan, and United States (refer to <https://www.lamresearch.com/company/locations>).
- AMAT has volume manufacturing facilities in the United States, and Singapore, with additional manufacturing facilities in Germany, Israel, Italy, Korea, China Taiwan and the United States (refer to <https://www.appliedmaterials.com/us/en/about/manufacturing.html>).

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